

TREASURY, BANKING, AND CREDIT OUTLOOK

APPROVED DEFINITIONS AND CONTROL FRAMEWORK

Alder Ridge Mechanical | Effective for the 2026-06-30 close and FY27 planning cycle

Authority and version control

Use executed agreements and signed policies for definitions, controller-reviewed workpapers for current management assumptions, raw exports for their stated cutoff, and Vista ERP for posted Alder Ridge populations. Earlier workbooks and banker cases are retained for audit history only.

Required control principles

Keep posted, pro-forma, forecast, external-market, and transaction-target measures separately labeled. Preserve units and periods. Reconcile bridges and roll-forwards without plugs. Management preference does not override approval status, contractual definitions, or stated risk limits.

30-day daily cash-position model

Use settlement date, not initiation date, and exclude restricted cash from available cash.

Fund all bank minimums through concentration transfers before drawing; draw only enough to restore the consolidated floor.

Repay the revolver only from cash above the floor plus the documented \$500,000 operating buffer.

Seasonal liquidity and revolver headroom

Calculate monthly pre-financing cash before any draw or repayment, then restore only the \$2.25 million operating floor.

Available revolver is the lower of commitment and the monthly borrowing base; apply the spring step-down independently.

Total liquidity equals ending cash plus undrawn availability, excluding restricted cash.

Term-loan refinancing NPV decision

Model monthly principal and interest through contractual maturity and include any final balloon.

A refinance incurs proposal fees, the existing-note prepayment penalty, and the unamortized fee write-off at closing.

Discount all cash outflows at the treasury monthly hurdle and compare with keeping the existing notes.

Interest-rate hedge strategy

Probability-weight three-year interest across all SOFR paths using the scheduled average balance for each year.

The cap limits SOFR but not the credit spread; add premium once. The swap fixes SOFR but retains the spread and termination reserve.

Recommend the lowest expected-cost strategy that also satisfies the maximum annual Downside interest ceiling.

Bank RFP economics and relationship recommendation

Use forecast deposits, average borrowings, and unused commitment rather than the current month's volumes.

Annual net cost includes service fees less earnings credit and card rebate plus revolver interest and unused fees.

Amortize implementation cost over three years for annual economics, but use full implementation plus transition reserve for switching payback; enforce mandatory capabilities.

Foreign-currency equipment hedge

Hedge committed purchase orders at 100%; do not include the optional order even after probability-weighting.

Existing forwards remain assigned to their original settlement months and cannot be redesignated.

Price the remaining committed notional at month-specific forwards; compare with the month-specific Downside spot cost.

Short-term liquidity investment allocation

Invest only unrestricted cash after the operating and payroll floors; exclude restricted surety cash.

Maximize annualized interest in \$250,000 increments while enforcing capacity, Bank A counterparty, WAM, and same-day liquidity limits.

Weighted-average maturity and same-day liquidity are portfolio-weighted on invested principal.

FY27 covenant outlook

Roll funded debt quarterly after the acquisition draw and scheduled principal payments.

Test leverage on trailing-four-quarter covenant EBITDA using the executed 3.00x maximum.

Calculate FCCR under the executed amendment as trailing EBITDA less cash taxes and unfunded capex, divided by cash interest plus scheduled principal.

Roll tangible net worth from the controller-tied opening balance using quarterly net income less distributions, and test the executed \$2.5 million minimum at each quarter end.

Roll pre-financing unrestricted cash from posted opening cash using operating cash generation less cash interest, cash taxes, unfunded capex, distributions, and scheduled principal. Test the board's \$2.25 million minimum cash floor.

At the first leverage breach, calculate the immediate debt paydown required to reach the covenant maximum and the portion financeable from cash above the board floor; do not solve an FCCR breach with a debt plug.

For the covenant downside, reduce forecast covenant EBITDA and operating cash generation by 12%, apply 90% of forecast cash taxes, add \$75,000 of quarterly cash interest beginning in 2026-Q4, and add \$250,000 of unfunded capex in 2027-Q2 and 2028-Q2. Historical quarters remain actual.

For downside tangible net worth, reduce forecast net income by the after-tax EBITDA shortfall and after-tax incremental interest using the approved 26% conversion tax rate. Capex and cash-tax timing changes affect cash, not tangible net worth.

Credit metrics and incremental debt capacity

Net leverage subtracts unrestricted cash; gross-leverage debt capacity does not.

FCCR includes cash interest, cash taxes, maintenance capex, and distributions; incremental debt adds interest at the stated rate.

Maximum incremental debt is the minimum of leverage, FCCR, and internal ratings capacities; report tangible-net-worth headroom separately.

Bank relationship profitability scorecard

Net relationship value equals credit economics plus treasury fee revenue less relationship risk cost.

Calculate deposit and credit concentration on their separate portfolio totals and identify every policy exception.

Move the prescribed increments from the largest concentration to the bank with the lowest combined deposit-plus-credit concentration.

dynamic 13-week cash and revolver model

Roll all thirteen weeks chronologically from posted opening cash and retain payroll, tax, and capex timing from the controller-tied forecast.

Calculate each week's interest and unused fee on beginning-of-week revolver balances before determining the funding need.

Draw only to the operating-cash floor and repay excess cash immediately without taking the revolver below zero.

Do not net future receipts against an earlier liquidity shortfall or ignore feedback from debt interest into cash.

Haircut weekly receipts by the approved collection-confidence factors. For collateral availability, the executed Amendment No. 2 controls: advance 80% of eligible A/R, give no inventory advance, then deduct current letters of credit and the availability block before capping each funding draw.

Interest and unused fees remain based on beginning debt and commitment. Report any operating-floor breach or unfunded liquidity after the borrowing-base cap, plus minimum borrowing-base headroom.

Refinancing, hedge, and covenant economics

Compare present values over each alternative's contractual term. Apply the 26% tax shield to interest only; treat proposal fees, other closing costs, the prepayment penalty, and the existing-fee write-off as gross time-zero cash outflows with no assumed tax shield.

Apply SOFR floors before adding spreads; the swapped proposal uses its all-in fixed rate and must not receive a second SOFR charge.

Test downside interest, fixed-charge coverage, and leverage independently. Fixed-charge coverage equals (covenant EBITDA minus downside cash interest) divided by (annual fixed charges excluding interest plus opening principal times the annual principal-amortization percent).

The recommendation must be based on total economics and covenant feasibility, not the lowest stated spread.

Rebuild annual interest and principal from the five-year SOFR curve instead of applying one average rate to every year, and separately evaluate the approved cap on Term Loan A.

Report the base-rate break-even against the all-in swap, five-year after-tax interest, principal repaid, capped downside interest, and capped downside fixed-charge coverage.

Layered FX hedge plan

Translate each committed foreign-currency payable using the correct currency-specific quote; all rates are USD per foreign unit.

Forwards settle at the forward rate. Purchased options use the better of the scenario spot and strike for a payable, plus premium.

For the expected case, use the budget USD rate as the scenario spot for option and residual-unhedged exposure; the forward USD rate applies only to the contracted forward layer.

Leave only the documented residual unhedged and test policy by exposure rather than on a blended portfolio percentage.

Compare the fully layered downside cash cost, including premiums, with the budget USD cost.

Net only documented same-currency operating receipts against payables before applying hedge layers; cross-currency netting is prohibited.

The approved option premiums are already contracted, nonrefundable cash costs and remain fixed after the natural-offset update.

Test both the residual unhedged cap and counterparty notional limit after natural offsets. Report net exposure, natural-hedge benefit, largest downside currency, and adjusted downside cash cost.

ABL borrowing base and covenant cure

Apply eligibility exclusions to the correct collateral pool before advance rates. Gross borrowing base is the resulting advance-rate amount before specific reserves; deduct those reserves when calculating net loan availability.

Facility availability is the lesser of commitment and borrowing base, less letters of credit and the availability block.

Test excess availability after the existing revolver and compare it with the contractual minimum.

Calculate and apply only the minimum equity cure needed for the fixed-charge-coverage shortfall, capped at the approved cure; post-cure coverage must reflect that amount rather than the full approval. Do not treat the cure as collateral or revolver repayment.

This assignment evaluates the controller-approved pro forma ABL alternative, not the company's executed AR-only revolver. The Detailed ABL policy and the aggregate ABL advance-rate schedule are the controlling scenario terms; do not substitute Amendment No. 2's 25% concentration cap or 80% AR advance rate into this separate alternative-facility analysis.

The detailed collateral control supersedes the aggregate management collateral amounts. Apply invoice-level aging, cross-aging and related-party exclusions, then the pro forma 20% single-customer concentration cap, before the scheduled AR advance rate.

Apply category eligibility factors before the inventory advance rate, reconcile total detailed exclusions, and use the resulting detailed borrowing base for availability and cure conclusions.

Cash-investment liquidity ladder

Allocate the entire investable balance in approved \$50,000 denominations while respecting instrument caps.

Same-day liquidity includes only instruments settling within one day and applies the documented value factor.

The dated liquidity rows are incremental cash-need tranches; sum them through each date to obtain the cumulative requirement. Each cumulative requirement may be met by instruments matured by that day or by qualifying same-day liquidity.

Maximize expected income over the common 100-day investment horizon, assuming matured instruments roll at the same approved yield, subject to every liquidity and concentration constraint.

Construct one income-maximizing executable ladder subject simultaneously to the ordinary cumulative cash needs and the stress constraints. Calculate weighted average maturity, Treasury-issuer concentration, and day-35 liquidation value after approved stress haircuts.

Do not stop after testing an ordinary-only optimum: if it fails a stress cap or floor, reoptimize under those constraints. The final ladder is executable only if both ordinary and stress requirements pass; report each final stress metric and any remaining breach explicitly.

System reconciliation schedule

Analysis	Accounting-system reconciliation
30-day daily cash-position model	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts
Seasonal liquidity and revolver headroom	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts
Term-loan refinancing NPV decision	Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300
Interest-rate hedge strategy	Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300
Bank RFP economics and relationship recommendation	No Alder Ridge ledger tie required
Foreign-currency equipment hedge	No Alder Ridge ledger tie required
Short-term liquidity investment allocation	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts
FY27 covenant outlook	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts; Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300
Credit metrics and incremental debt capacity	Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300
Bank relationship profitability scorecard	No Alder Ridge ledger tie required
dynamic 13-week cash and revolver model	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts
Refinancing, hedge, and covenant economics	No Alder Ridge ledger tie required
Layered FX hedge plan	No Alder Ridge ledger tie required
ABL borrowing base and covenant cure	No Alder Ridge ledger tie required
Cash-investment liquidity ladder	No Alder Ridge ledger tie required